

Key Points

- Mediation is an amicable dispute resolution tool that is speedy, cost-effective, flexible, and tailored to the needs of the disputing parties, which can facilitate trade and investment.
- However, the merits of mediation may not be fully realized in investor–state disputes due to the unique characteristics of governments, including accountability concerns, diverse stakeholders, and transparent and equitable rule-based administration.
- Mandatory mediation, clear mandates, coordination among line ministries, and the involvement of globally reputable institutions such as the International Centre for Settlement of Investment Disputes (ICSID) can enable a state to use mediation in investor–state disputes.
- Ratifying the Singapore Convention on Mediation, which ensures the enforceability of mediated settlement agreements, can facilitate the broader use of mediation, including in investor-to-state disputes.
- Capacity building for enhancing awareness of investment mediation should be carried out in a targeted, tailored, and systemic manner.

Ways to Promote Mediation in Investor-to-State Disputes

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1. Introduction

Foreign direct investment (FDI) is crucial for economic growth in developing countries because it brings new capital for job creation and industrial development. Many countries have bilateral investment treaties or free trade agreements that include investment chapters to induce FDI by securing foreign investors' rights to protect their assets in a host country. Alternative dispute resolution systems such as mediation and arbitration are well embedded in most international investment treaties to resolve disputes arising in the course of foreign direct investment.

In the case of arbitration, it has frequently been used as the main tool to address disputes between an investor and a state because both disputing parties can select an independent arbitrator who adjudicates their case, and the arbitral decision is enforceable through the New York Convention¹ or the International Centre for Settlement of Investment Disputes (ICSID) Convention.² Arbitration is costly because it follows a quasi-judicial process, including discovery and hearing procedures for fact-finding. This high cost has been burdensome for both host countries and investors. Furthermore, the arbitrator's adjudication may not meet the expectations of both disputing parties, similar to court rulings.

In this context, mediation has drawn increasing attention. Mediation offers several advantages over arbitration, including lower costs, faster resolution, greater flexibility, and party-controlled outcomes. A mediator facilitates negotiations between disputing parties, helping them reach a mutually satisfactory solution. Unlike arbitration, mediation avoids time-consuming procedures such as document discovery, formal advocacy by legal counsel, and the establishment of an arbitral tribunal. As a result, mediation is typically quicker and more cost-effective. Moreover, mediation allows the parties themselves to determine the outcome through negotiation, in contrast to arbitration, where the arbitral tribunal issues a binding award that the parties must accept.

¹ The New York Convention is a multilateral treaty adopted in 1958 that establishes a uniform legal framework under which arbitration agreements must be respected (courts must refer disputes to arbitration), and arbitral awards made in one country must be recognized and enforced in other contracting States.

² The ICSID Convention, formally the *Convention on the Settlement of Investment Disputes Between States and Nationals of Other States* (United Nations 1965), is a multilateral treaty that establishes a legal framework and an institution (ICSID) to provide facilities for the conciliation and arbitration of investment disputes between contracting States and nationals of other contracting States.

Recognizing these benefits, ICSID and the United Nations Commission on International Trade Law (UNCITRAL) have introduced investment mediation frameworks,³ particularly for investor–state disputes. Their rules encourage mediation as a preliminary step before arbitration, based on the belief that mediation enables both the state and the investor to better understand each other’s interests and to arrive at tailored solutions. ICSID reports that there are 40 known instances of mediation in investor–state disputes, that the mediation process typically takes around 6 months to 1 year, and that total costs range from approximately \$25,000 to \$1 million (Nitschke 2026). By contrast, the average duration of investment arbitration is 4 years, and its cost is about \$4.7 million for a host country and \$4 million for an investor (BIICL and Allen & Overy 2021). ICSID statistics indicate a strong possibility that mediation in investor–state disputes will increase, as around 20% of ICSID arbitration cases have been settled between investors and states before an arbitral award is issued (ICSID 2026).

The implementation of mediation in investor–state dispute settlement (ISDS) may face difficulties due to the unique characteristics of governments. Unlike commercial entities, states operate under different constraints and priorities, which may limit their ability to engage in flexible, interest-based negotiation. This policy brief assesses the challenges of conducting mediation in ISDS and explores ways to promote its effective use in practice, particularly from a government perspective.

2. Process of Investment Mediation

Before diving deeply into the challenges of mediation in ISDS, it is worthwhile to first provide an overview of the general process of mediation in ISDS. The UNCITRAL Model Provisions on Mediation (2021), the UNCITRAL Guidelines on Mediation for International Investment Disputes (2023), and the ICSID Mediation Rules (2022a) set out the process of mediation in ISDS, and ICSID explains the flow of the mediation process in investor-to-state disputes in a background paper on investment mediation (ICSID 2021). Given that mediation is an extended negotiation supported by a third party, namely a mediator, eight steps can be identified: (i) negotiation between both parties, (ii) appointment of mediators, (iii) the first meeting with mediators and explanation of

ground rules, (iv) exchange of objectives and agenda setting, (v) private sessions, (vi) joint sessions, (vii) a mediated agreement, and (viii) implementation. For clarity, this policy brief uses a hypothetical case in which a foreign investor has a dispute with a host country that has canceled mining rights for environmental protection purposes.

2.1 Extended Negotiation

Mediation derives from the parties’ negotiation. If both parties face difficulties in making progress in their negotiations, they seek the support of a mediator to facilitate the process. In this sense, mediation can be understood as structured negotiation facilitated by a mediator. In the hypothetical example above, the disputing parties bring in an internationally well-known former judge to mediate their negotiation.

2.2 Appointment of Mediators

There are three types of mediators: facilitative mediators, evaluative mediators, and transformative mediators (Shonk 2026). A facilitative mediator encourages disputing parties to negotiate and reach a settlement by facilitating communication. An evaluative mediator guides the negotiation by sharing views on the issues and suggesting possible solutions, if requested by the disputing parties. A transformative mediator seeks to build mutual recognition and empathy to improve the quality of interaction between the parties. Given that investor–state disputes attract extensive public attention and are likely to lead to adjudicatory arbitration, an evaluative mediator appears to be most appropriate in ISDS.

2.3 First Meeting and Ground Rules

A mediator explains the ground rules of mediation: mediation is voluntary, and each party may withdraw at any time. Each party is expected to listen respectfully to the other party’s statements. In addition, the mediator explains the overall process of mediation. In the hypothetical example, the former judge explains the ground rules and the main process of the mediation to the disputing parties.

³ ICSID introduced the ICSID Mediation Rules in 2022, and UNCITRAL introduced the UNCITRAL Model Provisions on Mediation in 2021 and the UNCITRAL Guidelines on Mediation for International Investment Disputes in 2023.

2.4 *Exchange of Objectives and Agenda Setting*

Each disputing party outlines its objectives and desired outcomes. The mediator and the disputing parties jointly set the main agenda after identifying each party's objectives and interests. In the hypothetical example, the investor may seek revocation of the cancellation and compensation for damages incurred, while the host country may argue that the cancellation is unavoidable due to nationally determined contribution (NDC) commitments and pressure from the local community, although compensation could be negotiable. The mediator and the disputing parties may therefore set two key agenda items: extension of permission and compensation.

2.5 *Private Sessions*

A mediator may hold separate private sessions with each disputing party to clarify their interests and explore potential solutions. The mediator may propose solutions if requested. Information disclosed in private sessions must not be shared with the other party without consent. In the hypothetical case, the investor may reveal that its primary interest is to extend the mining permit during a transition period, while the host country may indicate that a limited extension is possible if the investor contributes financially to the local community. The mediator may suggest focusing on an extension of permission combined with reasonable compensation.

2.6 *Joint Sessions*

In joint sessions, the mediator clarifies each party's interests and facilitates negotiations on the main agenda items. The mediator may propose solutions for consideration if requested by both parties. In the hypothetical case, negotiations focus on extending the mining permit and determining reasonable compensation. The mediator may present possible solutions based on insights obtained from both private and joint sessions.

2.7 *Mediated Agreement*

If both parties reach agreement, the mediator drafts a detailed settlement agreement, including terms, conditions, confidentiality provisions, implementation arrangements, monitoring mechanisms, governing law,

and procedures for resolving future disputes. In the hypothetical case, the parties may agree that the host country will extend the mining permit for an additional 10 years, while the foreign investor will provide job-transition training for affected workers and establish a \$2 million fund for environmental compensation and restoration of the polluted areas. They may also agree to establish a joint monitoring committee to oversee implementation and to keep information obtained during the mediation confidential. The agreement should reflect these commitments and confirm that both parties entered into the agreement voluntarily and that the mediator acted as a neutral third party who facilitated negotiations without imposing a decision.

2.8 *Implementation of the Mediated Agreement*

The mediated settlement has a strong likelihood of being implemented because both parties participate in developing and agreeing to the solution. If a party fails to comply, the agreement can be enforced by domestic courts through standard contractual enforcement procedures. In other words, a party files a claim before a court seeking enforcement of the mediated settlement agreement, and the court may reexamine the merits of the dispute before rendering a judgment. Where a party's country has ratified the Singapore Convention, the mediated settlement agreement may be enforced directly without additional domestic procedures required for general contract enforcement. In the hypothetical case, if the foreign investor fails to establish the \$2 million fund required under the mediated settlement agreement, the host country may seek direct enforcement of the agreement under the Singapore Convention and, where permitted by domestic law, obtain measures such as the seizure of the investor's assets.

3. **Unique Characteristics of States That May Hinder Investment Mediation**

While mediation offers many advantages, its application in investor–state disputes is likely to face challenges due to the distinct nature of states compared to commercial entities. These challenges stem from concerns about accountability, the presence of diverse internal and external stakeholders, transparent and equitable rule-based administration, and uncertainty regarding the enforceability of mediated settlements.

3.1 Concerns About Accountability

Government officials are highly sensitive to accountability because any flaws in the process or outcomes of their activities may result in serious consequences for their careers. Therefore, they tend to adhere strictly to rules and regulations and are likely to seek guidance from their superiors when discretion is required. For example, when a complaint is raised by a foreign investor, a government official would not engage in negotiations unless such engagement was permitted by applicable laws and regulations. Even when negotiations are lawfully initiated, officials are unlikely to deviate from their given mandates.

This concern about accountability extends beyond individual officials. Each ministry has clearly defined areas of responsibility under applicable laws and regulations. When an investment dispute involves multiple ministries, the relevant ministries are expected to coordinate their response, including designating a representative of the government to engage with the foreign investor. In practice, however, coordination among line ministries is not easy without preestablished rules and procedures, as no ministry wishes to assume responsibility beyond its formal mandate.

3.2 Diverse Stakeholders

Foreign direct investment involves not only the Ministry of Investment but also other ministries, such as those responsible for the environment, finance, and local governance, depending on the case. For example, in the *Lone Star v. Republic of Korea* case,⁴ where Lone Star alleged that Korean authorities delayed and politically interfered with its ability to sell Korea Exchange Bank, imposed unfair tax measures, and undermined the value of its investment, the Republic of Korea established a formal cross-ministerial task force. This task force included the Prime Minister's Office, Ministry of Justice, Ministry of Finance and Economy, Ministry of Foreign Affairs, Ministry of Trade and Industry, Financial Services Commission, and National Tax Service. This demonstrates that multiple internal stakeholders within the government must have their interests reflected during mediation between a state and a foreign investor.

In addition, there are stakeholders outside the government, including Congress, civic groups, and the general public, often represented by the mass media.

In some cases, the investor's home country may also act as a diplomatic stakeholder. Government activities are typically reported to Congress, shared with civic groups, and disclosed to the public. As transparency increases, so does the demand for information. In the Republic of Korea, investor–state dispute cases are closely scrutinized, and any issues or criticisms arising during mediation may be subject to review by Congress or the Board of Audit and Inspection and, in extreme cases, investigation by law enforcement authorities.

It is also important to note that the public tends to view the state as sovereign and expects the government to defend national interests vigorously. As a result, any concession made by the government in a dispute is often perceived as unfavorable or unjust. Such expectations tend to push governments to maintain rigid positions rather than pursue amicable solutions, even when the likelihood of success in arbitration is low.

3.3 Transparent and Equitable Rule-Based Administration

Government administration is governed by laws and regulations, which must be applied uniformly without granting special treatment to parties in similar circumstances. Although governments may exercise discretion, such discretion is subject to strict scrutiny to ensure compliance with legal boundaries. For example, if a state grants a mining permit to one foreign investor, it must provide equivalent treatment to others in similar circumstances. Accordingly, governments are cautious about creating precedents that may affect future administrative decisions.

Mediation, by its nature, produces tailored solutions that address the specific needs of the disputing parties. Such settlements are generally intended to remain confidential unless both parties agree otherwise. However, in disputes involving public interests, confidentiality is difficult to maintain, as stakeholders, including Congress and civic groups, often demand disclosure. The nondisclosure of key elements, if later revealed, may lead to misunderstandings and serious repercussions.

If key elements of a mediated settlement are disclosed, other domestic or foreign investors may seek similar treatment. International agreements, including free trade agreements, investment treaties, and tax treaties,

⁴ This case centered on American private equity firm Lone Star's claim that the Republic of Korea breached protections under the Korea–Belgium–Luxembourg Bilateral Investment Treaty in relation to its investment in Korea Exchange Bank (ICSID 2022b).

typically include national treatment obligations requiring equal treatment of domestic and foreign investors in like circumstances. Some agreements also contain most-favored-nation provisions requiring treatment no less favorable than that accorded to investors from third countries. Granting favorable treatment to a specific investor may therefore raise concerns of treaty violations, even if the circumstances differ.

3.4 *Uncertainty of Enforceability of Mediated Settlement*

Arbitral awards are widely enforceable because 172 countries have ratified the New York Convention on arbitration. By contrast, although the Singapore Convention on Mediation entered into force in September 2020, its coverage remains limited, with only 22 countries having ratified it as of May 2026 (United Nations Commission on International Trade Law n.d.). As a result, hybrid mechanisms such as med-arb or arb-med-arb are often recommended, as they allow mediated settlements to be incorporated into arbitral awards that are enforceable under the New York Convention. Mediated settlement agreements may also be enforced by domestic courts under general contract law, provided that the necessary legal requirements are met.

In ISDS, the enforceability of mediated settlements typically relies on domestic legal processes or the Singapore Convention. The Convention may apply to settlements involving states unless a country enters a reservation excluding settlements involving the state or its agencies.⁵ From the perspective of foreign investors, there is limited incentive to pursue mediation with a state that has not ratified the Singapore Convention or has adopted such reservations.

4. **Ways to Promote Mediation in Investor–State Dispute Settlement**

Despite the challenges facing mediation in ISDS, it is worthwhile to promote its use because of its merits, such as low cost, speed, tailored solutions, and the ability to maintain good relationships. The key issue,

therefore, is how to address these challenges and identify ways to facilitate mediation in ISDS under the existing constraints.

To enable government officials to utilize mediation in ISDS, the first step is to alleviate their concerns about accountability. Establishing a governance structure for handling investor–state disputes, together with engaging relevant stakeholders, will enhance the acceptability of mediation in ISDS. In addition, encouraging as many countries as possible to ratify the Singapore Convention will help pave the way for the broader use of mediation. Capacity building and awareness raising, through well-targeted and tailored approaches, are also indispensable for promoting mediation in ISDS.

4.1 *Relieving Government Officials of Accountability*

Government officials are often highly sensitive to issues of accountability, as they are expected to act in accordance with applicable laws, regulations, and instructions from their superiors. Any action that deviates from these obligations or exceeds the scope of their discretion may expose them to legal, administrative, or political consequences. In this context, mandatory mediation provisions established by law, a clear mandate from a competent authority, and the involvement of a reputable international dispute settlement institution can significantly reduce officials' perceived accountability risks, thereby enabling and encouraging their participation in mediation in ISDS.

(i) **Mandatory Mediation in Investor–State Dispute Settlement**

Mandatory mediation can be a powerful tool to engage government officials in mediation without concerns about accountability for the decision to initiate it. If international treaties or domestic laws require mediation before arbitration, officials can refer disputes to mediation without bearing personal responsibility for that decision, even if the mediation outcome later faces public criticism.

However, few free trade agreements or investment treaties currently include mandatory mediation provisions.

⁵ Singapore Convention Article 8(1)(a) includes the reservation that a state may declare that the Convention will not apply to settlement agreements to which the State itself is a party or involving government agencies or persons acting on their behalf (United Nations 2019).

For example, the Indonesia–Australia Comprehensive Economic Partnership Agreement (2019) allows the host state to require the investor to attempt conciliation (equivalent to mediation) before arbitration.⁶ While UNCITRAL Working Group III supports strengthening mediation, it has not adopted mandatory mediation in its model provisions due to concerns that it may delay access to adjudication and may be ineffective without genuine consent from the parties.⁷

Mandatory mediation does not require the parties to reach an agreement; it only requires the initiation of the process. Nevertheless, participation in mediation can open the door for both the state and the investor to better understand each other's interests and explore mutually beneficial solutions as alternatives to costly arbitration. Moreover, mediation is not necessarily time-consuming, as either party may withdraw at any stage. In this respect, introducing mandatory mediation within legal frameworks is worth considering.

(ii) Clear Mandate

Mediation in ISDS is essentially extended negotiation supported by a mediator between a state and a foreign investor. Government negotiators therefore require clear mandates prior to commencing negotiations. As long as officials act within the scope of their mandate, the responsibility for decisions rests with higher-level decision-makers rather than with the negotiators themselves.

In cases involving multiple ministries, mandates should be developed through coordination between ministries. Joint coordination mechanisms are commonly used for decision-making, including the formulation of negotiation mandates, as they allow participating ministries to share responsibility. For example, the Republic of Korea operates a Ministerial Meeting on International Economic Affairs, composed of relevant ministries, which provides mandates for major international negotiations such as free trade agreements (Republic of Korea 2017).

(iii) Reputable Neutral Mediators and Mediation Institutions

Public trust in judicial decisions largely derives from the perceived neutrality and expertise of judges. Similarly, in mediation, neutrality and credibility are critical for public acceptance of outcomes. Transparent and fair procedures conducted by highly respected mediators may be as important as the substantive solution itself, particularly in ISDS. Governments can rely on the credibility of reputable mediators to support the legitimacy of mediation outcomes.

In this regard, well-established international alternative dispute resolution (ADR) institutions are appropriate venues for mediation in ISDS. ICSID, in particular, is well recognized globally, operates under the World Bank Group, and has extensive experience in ISDS. ICSID arbitration proceedings often facilitate settlement, as parties seek to avoid the high costs and uncertainties associated with arbitration. Indeed, ICSID statistics show that approximately 20% of its arbitration cases are resolved through settlement without an arbitral award (ICSID 2026).

4.2 Establishing Governance

Disputes are most likely to be resolved when all key stakeholders are satisfied with the outcome. In investor-to-state disputes, the principal stakeholders include the host government consisting of its relevant line ministries, foreign investors, and affected local communities, including civil groups. Effective governance is therefore essential for both dispute prevention and dispute resolution, as it helps address the concerns and interests of all stakeholders. Mechanisms such as a foreign investment ombudsman, agile interagency coordination among line ministries, and the constructive engagement of third parties, including civic groups, can enhance trust, improve communication, and significantly increase the likelihood of successful mediation in ISDS.

⁶ IA-CEPA Article 14.23 on Conciliation states:

If the dispute cannot be resolved within 180 days from the date of receipt by the disputing Party of the written request for consultations, the disputing Party may initiate a conciliation process, which shall be mandatory for the disputing investor, with a view towards reaching an amicable settlement. Such a conciliation process shall be initiated by a written request delivered by the disputing Party to the disputing investor (Department of Foreign Affairs and Trade, Australia 2019).

⁷ Provision 1 of the UNCITRAL Model Provisions on Mediation for International Investment Disputes states:

Availability and commencement of mediation

1. "Mediation" means a process, irrespective of the expression used or the basis upon which the process is carried out, whereby parties attempt to reach an amicable settlement of their dispute with the assistance of a third person or persons (the "mediator") lacking the authority to impose a solution upon the parties to the dispute.
2. The parties **should consider mediation** to settle an international investment dispute amicably.
3. The parties may agree to engage in mediation at any time, including after the commencement of any other dispute resolution proceeding (UNCITRAL 2021, emphasis added).

(i) Foreign Investment Ombudsman at the Early Stage of Grievance

An investment ombudsman serves as a bridge between foreign investors and the government. By handling a wide range of complaints, the ombudsman can assess whether a grievance is likely to escalate into a formal dispute. Drawing on accumulated experience, the ombudsman can facilitate communication and coordinate with relevant administrative agencies to resolve issues at an early stage. In some countries, such as the Republic of Korea, the ombudsman has authority to investigate grievances and recommend corrective measures to relevant agencies.⁸

The ombudsman may also play a role as a mediator in ISDS, given their familiarity with both parties and relevant subject matter, as well as their experience in dispute resolution. Although mediators are generally expected to be neutral, there are instances in international practice where mediators with close ties to one party have successfully facilitated resolution. For example, the United States played a critical role as a mediator in Arab–Israeli and Israeli–Palestinian peace processes over several decades despite its widely recognized close relationship with Israel (*FRONTLINE* 2002; Carter 2026). In this sense, an ombudsman can serve as a practical mediator in investor–state disputes.

(ii) Coordination Among Line Ministries

A government should designate a ministry or agency responsible for managing mediation in ISDS. Unlike arbitration, which focuses on legal argumentation, mediation is fundamentally a negotiation process. Therefore, the ministry with substantive responsibility for the dispute and the authority to resolve it should lead the mediation.

Where multiple ministries are involved, a coordination mechanism is essential to align their interests and provide a unified mandate. Such coordination improves clarity for investors regarding the appropriate counterpart and helps distribute accountability among participating ministries.

(iii) Engaging Local Communities and Civic Groups

Governments may enhance the legitimacy of mediation outcomes by engaging affected local communities and civic groups in decision-making processes. Their participation can improve transparency and public acceptance. In certain cases, states and investors may consider involving local communities and civic groups directly in mediation.

In arbitration, the *amicus curiae*⁹ system allows third parties such as nongovernment organizations (NGOs) or community groups to submit their views.¹⁰ This is particularly relevant in disputes involving public interests such as environmental protection, public health, and access to resources. For instance, in *Suez/Vivendi v. Argentina*, the tribunal accepted NGO participation due to the case's impact on water access and fundamental rights (ICSID 2015).

In mediation, the involvement of local communities and civic groups may be even more meaningful, as mediation seeks solutions that accommodate the interests of all relevant stakeholders. Civic groups' participation can therefore contribute to more sustainable and broadly accepted outcomes.

4.3 Ratifying the Singapore Convention

The Singapore Convention enhances the enforceability of mediated settlement agreements, including those between states and foreign investors. As more countries ratify the Convention, the use of mediation in ISDS is likely to expand.

Since entering into force on 12 September 2020, the Convention has grown from 53 signatories and 3 ratifications to 60 signatories and 22 ratifications as of June 2026. This represents relatively rapid progress compared with the New York Convention, which took approximately 9 years to reach 22 ratifications (United Nations Commission on International Trade Law n.d.).

⁸ This ombudsman defines its function as follows:

Foreign Investment Ombudsman and his grievance resolution body collect and analyze information concerning the problems foreign firms experience, request cooperation from and recommend implementation thereof to relevant administrative agencies, propose new policies to improve the foreign investment promotion system, and carry out other necessary tasks to assist foreign-invested companies in resolving their grievances (Foreign Investment Ombudsman n.d., Republic of Korea 1998).

⁹ A person, organization, or group that is not a party to a dispute but is allowed to submit information, expertise, or arguments to help the decisionmaker (court or arbitral tribunal).

¹⁰ Article 4 of the UNCITRAL Rules on Transparency in Treaty-Based Investor–State Arbitration instructs that the arbitral tribunal may allow a submission by a third person regarding a matter within the scope of the dispute (UNCITRAL 2013, updated 2022).

Before ratifying the Convention, countries should undertake legal reforms to align domestic mediation frameworks with its requirements. Domestic laws should enable courts to enforce international mediated settlement agreements and provide clear procedural rules. The UNCITRAL Model Law on International Commercial Mediation serves as a useful reference for such reforms (UNCITRAL 2018).

The Asian Development Bank (ADB) and Asian Development Bank Institute (ADBI) have actively encouraged member economies to ratify the Singapore Convention through policy dialogue and technical assistance. Key challenges include aligning domestic ADR systems with the Convention. ADB has provided support to countries such as Cambodia, Papua New Guinea, and Bhutan to facilitate legal reforms and ratification.

4.4 Capacity Building and Awareness Raising

Capacity building and awareness-raising efforts should adopt a comprehensive and tailored approach that targets key stakeholders, including government officials, practitioners, and investors.

(i) Government Officials

Government officials must develop strong negotiation skills, as mediation is essentially an extended negotiation process supported by a mediator. They should understand core negotiation principles, including those outlined in *Getting to Yes* by Fisher, Ury, and Patton.¹¹ Practical training, such as role-playing exercises, is essential for developing these skills.

Government officials must also understand the benefits of mediation and how it differs from commercial mediation. In particular, they should be aware of the unique characteristics of states such as concern about accountability that affect mediation in ISDS. Government officials should be aware of the importance of ratifying the Singapore Convention and ways to arrange domestic legal reform for the implementation of the Singapore Convention.

Organizations such as ADB, ADBI, UNCITRAL, and ICSID provide policy dialogue, workshops, and e-learning programs targeting government officials. In particular,

ADBI and ADB co-host periodic policy dialogues and conduct comprehensive e-learning courses covering negotiation, mediation, ISDS, the Singapore Convention, and arbitration.

(ii) Practitioners

Government officials often rely on legal advisers when disputes arise, and foreign investors typically engage legal counsel. If lawyers are familiar with mediation and its advantages, they are more likely to recommend it to their clients. Therefore, raising awareness among lawyers, including in-house counsel, is essential. Many international ADR institutions and universities offer specialized training in mediation.

(iii) Investors

Foreign investors should understand the benefits of mediation, especially when they intend to continue operating in the host country. While arbitration is suitable when investors plan to exit and seek compensation, mediation is often preferable when maintaining the investment relationship is important. In this regard, investment ombudsmen can play a role in recommending mediation to investors.

5. Conclusion

As a mechanism to resolve disputes, mediation has clear merits, including speed, low cost, and flexibility. The Singapore Convention further enhances the value of international commercial mediation by strengthening the enforceability of mediated settlements. ICSID and UNCITRAL promote mediation in ISDS as part of ongoing reforms to an arbitration-oriented system.

Despite this potential, the wider use of mediation in ISDS faces challenges because of the unique characteristics of states, such as concerns about accountability, the involvement of diverse stakeholders, and the need for transparent and equitable rule-based administration, together with the limited ratification of the Singapore Convention.

Addressing accountability concerns through measures such as mandatory mediation, clear mandates, and the use of globally reputable mediation institutions like ICSID can help facilitate mediation in ISDS.

¹¹ Major principles of negotiation: (i) separate people from the problem, (ii) focus on interests, (iii) create mutual gains, (iv) use objective criteria, and (v) know your BATNA (Best Alternative To Negotiated Agreement) (Fisher, Ury, and Patton 2011).

Effective coordination among line ministries within government, along with engagement of civic groups, can further enhance the credibility and acceptability of mediation outcomes.

Ratification of the Singapore Convention will also play a key role in promoting mediation in ISDS by expanding the global enforceability framework. As awareness of the Convention increases, more countries are expected

to move toward ratification. It is encouraging that the Republic of Korea, Malaysia, and Bhutan are likely to ratify the Convention in 2026.¹²

ADB and ADB remain committed to tightening regional cooperation and integration by promoting ADR, including mediation in ISDS, across Asia and the Pacific in collaboration with governments, UNCITRAL, ICSID, ADR institutions, and academia (ADB and ADB n.d.).

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¹² The Republic of Korea, Malaysia, and Bhutan shared the plan to ratify the Singapore Convention in the second policy dialogue on ADR co-hosted by ADB and ADB on 20–22 April 2026.

Asian Development Bank Institute

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